



भारतीय रिज़र्व बैंक
RESERVE BANK OF INDIA

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April 27, 2026

**Reserve Bank of India (Commercial Banks – Resolution of Stressed Assets)
Amendment Directions, 2026**

Please refer to [Reserve Bank of India \(Commercial Banks – Resolution of Stressed Assets\) Directions, 2025](#) (hereinafter referred to as ‘the Directions’).

2. Consequent to the issuance of [Reserve Bank of India \(Commercial Banks - Asset Classification, Provisioning and Income Recognition\) Directions, 2026](#) and in exercise of the powers conferred by the Sections 21 and 35A read with Section 56 of the Banking Regulation Act, 1949 and all other laws enabling the Reserve Bank in this regard, the Reserve Bank being satisfied that it is necessary and expedient in the public interest so to do, hereby issues the Amendment Directions hereinafter specified.

3. The Amendment Directions modify the Directions as given below:

(1) The following sub-paragraphs (7) to (10) shall be inserted in paragraph 10:

“(7) significant downgrade in the financial instrument’s external credit rating or in internal credit rating.

(8) significant changes in the value of the collateral supporting the obligation

(9) Any delay in payment of fee/ charges from the due date as per the internal policy of the bank.

(10) expected changes in the loan documentation including an expected breach of contract that may lead to covenant waivers or amendments, interest payment holidays, interest rate step-ups, requiring additional collateral or guarantees, delays in review/renewal of the loan account vis-à-vis pre-determined schedule or other changes to the contractual framework of the instrument.”

(2) Paragraph 48(2) of the Directions shall be modified as below:

“(2) the provisions required to be made as per the [Reserve Bank of India \(Commercial Banks – Asset Classification, Provisioning and Income Recognition\) Directions, 2026](#).”

(3) Paragraph 54 of the Directions shall be modified as below:

“In both above cases, the asset classification shall continue to be governed by the ageing criteria contained in the [Reserve Bank of India \(Commercial Banks – Asset Classification, Provisioning and Income Recognition\) Directions, 2026](#).”

(4) Paragraph 63 of the Directions shall be modified as below:

“An account that has been restructured shall attract provisioning as per [Reserve Bank of India \(Commercial Banks – Asset Classification, Provisioning and Income Recognition\) Directions, 2026](#).”

(5) Paragraph 67 of the Directions shall be modified as below:

“During the insolvency resolution process period, provisioning for the interim finance shall be governed by the [Reserve Bank of India \(Commercial Banks – Asset Classification, Provisioning and Income Recognition\) Directions, 2026](#).”

(6) Paragraph 72 of the Directions shall be modified as below:

“Subsequent to the lapse of the period specified in paragraph 69, provisioning shall be as per the requirements in the [Reserve Bank of India \(Commercial Banks – Asset Classification, Provisioning and Income Recognition\) Directions, 2026](#).”

(7) Paragraph 73 of the Directions shall be modified as below:

“The facility of freezing of provisions as allowed in paragraph 69 shall lapse immediately if the Adjudicating Authority rejects the resolution plan thus submitted, and asset classification in respect of such borrower shall continue to be governed by the [Reserve Bank of India \(Commercial Banks - Asset Classification, Provisioning and Income Recognition\) Directions, 2026](#).”

(8) Paragraph 77(5) of the Directions shall be modified as below:

“The conditions for implementation of resolution plan as per paragraphs 31 to 40 are complied with.”

(9) Explanation to paragraph 96 of the Directions shall be modified as below:

“Explanation: Farm credit for the above purpose shall refer to credit extended to agricultural activities as listed in the [Reserve Bank of India \(Commercial Banks – Asset Classification, Provisioning and Income Recognition\) Directions, 2026.](#)”

(10) Paragraph 103 of the Directions shall be modified as below:

“Restructuring of loans by a bank, in the event of a natural calamity, shall follow the instructions contained in the Reserve Bank of India (Relief Measures by Banks in Areas Affected by Natural Calamities) Directions, 2018, as amended from time to time, including asset classification. For provisioning, a bank shall be guided by the [Reserve Bank of India \(Commercial Banks – Asset Classification, Provisioning and Income Recognition\) Directions, 2026.](#)”

(11) Paragraph 119 (2) of the Directions shall be modified as below:

“(2) For NPAs, income recognition shall be as per instructions contained in the [Reserve Bank of India \(Commercial Banks – Asset Classification, Provisioning and Income Recognition\) Directions, 2026.](#)”

(12) Paragraph 120 of the Directions shall be modified as below:

“For accounts which have availed DCCO deferment as per paragraphs 113 to 116 and are classified as ‘standard’, a bank shall maintain additional specific provisions over and above the applicable staging provisions in terms of the [Reserve Bank of India \(Commercial Banks – Asset Classification, Provisioning and Income Recognition\) Directions, 2026.](#)”

(13) Paragraph 124 of the Directions shall be modified as below:

“Provisioning for project loans shall be as per instructions contained in the [Reserve Bank of India \(Commercial Banks – Asset Classification, Provisioning and Income Recognition\) Directions, 2026.](#)”

(14) Paragraph 162 shall stand deleted.

4. The above amendments shall come into force from April 1, 2027.

(Vaibhav Chaturvedi)
Chief General Manager